EXECUTIVE SUMMARY

1. Introduction

The Municipality of Alcala was established as a regular municipality by virtue of Royal Decree dated July 20, 1787 by then Spanish Governor General of the Philippines in honor of its founder, Captain General Don Francisco Paulo de Alcala. It has twenty five (25) Barangays and classified as third (3rd) class Municipality.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the local government units to include not only the ability to create other sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the national government's thrust for sustainable social and economic development.

Scope of Audit

We conducted financial, compliance and value-for-money audit on the accounts and operations of the Municipality of Alcala covering the period from January 1 to December 31, 2014. The audit consisted of review of local operating procedures, processes and practices being done by the agency, inspection of the Municipality's programs and projects/activities, interview with concerned officials/employees, verification, reconciliation and analysis of financial accounts and other audit procedures and techniques considered necessary under the circumstances.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Alcala, Cagayan for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

Particulars	2014	2013	Increase(Decrease)
Financial Condition			
Total Assets	₱ 150,473,400.59	₱ 124,046,212.17	₱ 26,427,188.42
Total Liabilities	53,386,237.07	42,022,890.59	11,363,346.48
Total Government Equity	97,087,163.52	82,023,321.58	15,063,841.94
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	₱ 85,557,792.27	₱ 76,150,298.43	₱ 9,407,493.84
Total Expenses (Includes Total Operating	71,359,308.29	71,370,936.82	(11,628.53)

Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations			
b) Appropriations, Allotments and Obligations:			
Appropriations-Current	₱ 84,214,789.00	₱ 74,807,286.00	₱ 9,407,503.00
Appropriations-Continuing	1,831,700.00	5,732,109.29	(5732,109.29)
Allotments – Current	84,214,789.00	74,807,286.00	(3,900,409.29)
Allotments –Continuing	0.00	0.00	0.00
Obligations – Current	82,750,392.00	71,218,405.89	11,531,986.11
Obligations -Continuing	0.00	0.00	0.00
	2014	**2013**	**Inc/(Dec.)**
Funds Received from Other Agencies			
NGA	₱ 14,143,770.15	₱ 2,200,650.00	₱ 11,943,120.15
LGUs	7,500,000.00	4,750,000.00	2,750,000.00
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**₱ 21,643,770.15**	**₱ 6,950,650.00**	**₱ 14,693,120.15**
Funds Transferred to Other Agencies			
NGA	0.00	0.00	0.00
LGUs	0.00	0.00	0.00
NGO/Pos	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**
Particulars	**2014**	**2013**	**Increase(Decrease)**
Financial Condition			
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3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the LGU-Alcala, Cagayan as of December 31, 2014 due to the effects on the reliability of the Property, Plant and Equipment (PPE) accounts was overstated due to non-setting up of corresponding depreciation of PPE with a total value of ₱993,959.96. The reliability of the Property, Plant and Equipment accounts with a net book value of ₱96,390,338.28 could not be ascertained due to failure of management to conduct the physical count of PPE and to submit the corresponding report. The RPT and SET Receivables balances of ₱958,314.38 and ₱851,955.75, respectively, were overstated due to erroneous recording of the beginning balance. The balance of Local Disaster Risk Reduction and Management Fund (LDRRMF) in the total amount of ₱3,192,051.47 was not transferred to the special trust fund. Payment of honorarium, overtime pay, additional compensation (ADCOM) representation allowances and meals and snacks in the total amount of ₱937,820.43 were charged against Other Maintenance and Operating Expenses.

4. Summary of Significant Observations and Recommendations:

a. There is huge balance of cash in vault of ₱8,903,235.54 as of December 18, 2014 because of the due failure of the Municipal Treasurer to deposit collections regularly and intact with the Authorized Government Depository Bank (AGDB) in violation of Section 32 of the Manual on New Government Accounting System for LGUs.

We recommend that the Municipal Mayor require the Municipal Treasurer to adhere strictly to the provisions Section 32 of the Manual on New Government Accounting System for LGUs to avoid misapplication or misuse of the collections.

Further, we recommend that the Municipal Treasurer deposit the balance of undeposited collections in the amount of ₱8,903,235.54.

b. Cash advances granted to the Municipal Treasurer and Assistant Municipal Treasurer were accumulated to ₱22,828,410.47 and ₱8,020,000.00, respectively, due to granting of additional cash advances even if previous cash advance were not liquidated. Likewise, there was no specific purpose indicated thereon.

We recommend that the Accounting Office require the concerned official to liquidate immediately their cash advances. Failure to liquidate cash advance shall constitute cause of filing of malversation charge under Article 217, under Article 218 both of the Revised Penal Code or criminal prosecution under Section 128 of PD 1445.

c. There were unremitted trust liabilities due to GSIS, Pag-Ibig and Phil Health in the total amount of ₱2,065,973.17 due to failure of the Municipal Accountant to follow strictly the provision of Section 36 of COA Circular No.

92-382, Sections 3.4 of RA 8291 known as the GSIS Act of 1997, Section 3 of DILG, DBM, GSIS& Phil Health Joint Circular No. 98-5.

We recommend that the Local Chief Executive instruct the Municipal Treasurer to remit all the unremitted mandatory obligations to GSIS, Pag-Ibig and Phil Health promptly to avoid penalty charges. It is stressed that penalty/interest incurred due to delay and/or non-remittance shall be a personal liability of the Municipal Accountant.

d. The unutilized balances of Disbursement Acceleration Program amounting to ₱41,340.00 were not returned to the National Treasury.

We recommend the Local Chief Executive to direct the Municipal Treasurer to return immediately the unutilized funds to the National Treasury.

e. The municipality's continuous disregard on the policy of collection of water services fees installed to the different residential houses and commercial establishment resulted in the uncollected receivables of ₱1,363,887.84 as of year-end.

We recommend that;

a. Management formulates strategies to cause the collection of the unpaid bills. There should be a strict monitoring in the collection of monthly bills to ensure payment by constituents on a timely basis. Otherwise, warning should be given to them that in case of failure to pay a certain period, the service will be disconnected.

b. Submit copies of Memorandum of Agreement and/or contracts and Ordinance created by the Sangguniang Bayan to show proof and authority to operate; and

c. Management refers those delinquent beneficiaries for legal action.

f. Cash advances to Officers and Employees account totaling to ₱2,820,710.69 still remained unliquidated at year-end due to failure of management to require concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances.

We recommend that management instruct the Accountant not to allow the grant additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or a proper accounting thereof had been made.

Furthermore, if the cash advances are no longer needed, require the accountable officers to refund the whole amount or the unused portion. Failure of the AO to

liquidate his/her cash advance within the prescribed period shall constitute a valid cause for the withholding of his salary as provided for under paragraph 9.2 and 9.3 of COA Circular No. 97-002 and the institution of other sanction as provided for under COA Circular 2012-004.

g. Disbursements not related with the implementation of the development projects, programs and activities in the total amount of P1,171,719.78 were paid out of the 20% Development Fund due to non-compliance of the DILG-DBM Joint Memorandum Circular No. 2011-1dated April 13, 2011.

We recommend that the Local Chief Executive and other concerned officials ensure that the 20% Development Fund shall be spent solely for its specific/intended purpose. Likewise, follow strictly the provisions of DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011 to avoid disallowances in audit.

5. Summary of Total Suspensions/Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0%
Current Year	0.00	0.00	0.00	0.00	0%
Total	0.00	0.00	0.00	0.00	0%
Disallowances					
Prior Years	164,300.41	0.00	0.00	164,300.41	0%
Current Years	0.00	0.00	0.00	0.00	0%
Total	**164,300.41**	**0.00**	**0.00**	**164,300.41**	**0%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	0%
Current Years	0.00	0.00	0.00	0.00	0%
Total	0.00	0.00	0.00	0.00	0%

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the seven unimplemented audit recommendations embodied in the 2013 Annual Audit Report, one were fully implemented, one were partially implemented while the remaining five were not yet implemented.